

## At BRICS, more options, a win for diplomacy

THERE CAN be two views about BRICS and almost every multilateral forum at a time of churn in global politics. According to the first, such forums are ineffectual pagentry, while the second paints them are merely vehicles for the great powers to build their spheres of hegemonic influence. The New Delhi Declaration 2026 underlines a much-needed third view. It holds that diplomacy, cooperation and exchange of ideas, goods and services need not be beholden to the ideologies and interests of great powers. There is room for different political systems and even states on opposite sides of military conflicts to sit together, to agree, and agree to disagree. The strength of the New Delhi Declaration, then, lies in the spectacular headlines it did not make, and in reasserting the importance of diplomacy as-usual.

As West Asia continues to suffer from prolonged conflicts — Israel and Palestine, Iran and Lebanon and now, Yemen — the consensus between Iran and the UAE that calls for “exercising maximum restraint, as well as avoiding actions that could further aggravate the situation” is an unambiguous victory for diplomacy. Beyond West Asia, the Declaration focuses on the issues that will outlast the current moment’s rhetoric. Over 130 paragraphs of the 45-page document focused on “unilateral coercive measures” and “unilateral sanctions”, “unilateral blockades” — a comment on, and a push back against, the excesses by Washington under Donald Trump. The message is clear: Supply chains and trade routes of essential commodities, including and especially hydrocarbons, must not be weaponised. For developing countries of the Global South, the energy question is particularly salient. Rather than chasing the chimaera of a BRICS currency, the Declaration does well to focus on linking payment systems among member states. India’s UPI architecture has great potential here. The focus on AI capacity building and digital resilience also carries Delhi’s imprint.

When it was first formed in 2006 and through its early years, BRICS was meant to act as a forum for united action by emerging powers in a unipolar world. Its grand ambitions of “de-dollarisation” and multipolarity have led its detractors to paint it as an attempt to be “anti-West”. In fact, few of the group’s core members, and its expanded roster, hold such a view. China is looking for accommodation with the US, many countries from West Asia are practically allied with Washington; Vladimir Putin shares a personal rapport with Trump; India is looking to firm up a trade deal with America and do more business with Europe. In 2026, an expanded BRICS balances the views and needs of its many members. The New Delhi Declaration emphasises that a plurality of voices must be heard and heeded.

## After oil surge, Fed rate hike will shape challenge

ON WEDNESDAY, Brent crude traded above \$100-per-barrel for the first time after May 26, touching \$110 during the week before closing at \$104.6. This week could see the US Federal Reserve raise interest rates when the central bank’s open market committee meets on September 15-16. Unlike oil — where the trigger for the recent price surge has been the Iranian-aligned Houthi militia’s seizure of virtually Yemen’s entire Red Sea coast, threatening navigation through the vital Bab el-Mandeb Strait — the markets have already priced in the Fed’s rate hikes. Ten-year US Treasury bond yields are almost at 5 per cent, the highest since October 2023. The West Asia conflict’s ripple effects are also being felt through US producer price inflation hitting 5.4 per cent year-on-year in August and diesel prices soaring to a record \$6.20 a gallon.

All this matters greatly for India, as an importer of both energy and capital. The higher the prices of oil, and the longer they stay so, the more the impact, in terms of inflation and growth slowdown. The same goes for interest rates. When yields on 10-year government securities are near 3 per cent in Japan, 5 per cent in the US and 5.4 per cent in the UK, why should foreign investors put money in India, where returns aren’t as assured or high, after adjusting for currency depreciation risks? Elevated international energy prices widen India’s current account deficits. These become harder to finance in a rising global interest rates scenario, as capital flows shift to the safe-haven assets of industrialised countries. India has weathered the Iran war-induced energy supply shock relatively well so far. The \$127.2 billion of FCNR(B) deposits mobilised through the RBI’s special dollar-rupee swap facility has also stemmed the run on the rupee.

In the short run, the hope is of some kind of a deal to manage shipping through the effectively shut Hormuz as well as the now-threatened Bab el-Mandeb chokepoints. The important challenge for India, however, lies in boosting its export competitiveness and attracting long-term foreign investor interest. Key to the first is elimination of duties on imported raw materials and components, besides continued investments in roads, railways, inland and coastal waterways, and port infrastructure. The latter entails creating an environment where investors are confident about India not just being a robust long-term growth story, but offering policy predictability and stability. On top of these is the need for fiscal prudence and to guard against government overspending spilling over into higher current account deficits.

### FREEZE FRAME BY EP UNNY



# The Editorial Page

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## India & China are at a Nash equilibrium. Will it hold — that’s the question

ARE WE any the wiser about the course of India-China relations after the Eight Points of Outcomes and Consensus statement on the border issued on August 25 and the meeting between Prime Minister Narendra Modi and Chinese President Xi Jinping at the just-concluded BRICS Summit?

What the August statement and the two readouts from India and China after the summit indicate is that, with respect to the border, the two sides are at a Nash equilibrium. For the Economics 101-challenged like me, a Nash equilibrium is an outcome in a non-cooperative game in which “no player’s expected outcome can be improved by changing one’s own strategy” (according to Britannica online). In essence, India and China, at least tacitly, recognise that in any foreseeable future they cannot aspire to and achieve a better position in the border quarrel. They may well spar diplomatically and militarily occasionally, as they have since 2013. But the intermittent war of words and of hardware over control of the high Himalaya can only move the Line of Actual Control slightly.

The border quarrel can only be solved to the maximal satisfaction of India and China by negotiation or by force. India and China have been negotiating a border deal almost without interruption since 1981 — the Secretary/Vice Minister-level talks (1981-88), the

Joint Working Group (1989-2005), and the Special Representative Mechanism (2003-present). Over more than 45 years, they have met once a year on average.

After all those years of talking, the only agreement of substance is the 2005 “Political Parameters and Guiding Principles for the Settlement of the India-China Boundary Question”. The most important parameters and guidelines were that a settlement would be reached as a package (nothing is settled until everything on the border is settled). The final agreement would be a “political settlement” that would consider strategic concerns, history, national sentiment, practicality, geography, and the interests of settled populations in the borderlands.

The August 2026 eight-point statement, enjoining the negotiators to seek an early and substantial harvest with respect to the border, does not violate the idea of a package deal. Rather, it suggests that the two sides should focus on success in one area instead of negotiating everything everywhere all at once. Having achieved success in one section, they should then move on to another section of the border. Yet, as per the 2005 agreement, each sectional success would only be finally accepted and ratified when the entire border is settled.

Nothing in the Modi-Xi BRICS readouts alters the basic 2005



KANTI BAJPAI

Two things can disturb the Nash equilibrium (apart from bad defence or internal political collapse): The transition to a successor Dalai Lama, and an India-Pakistan fight that draws China directly in

agreement or the eight-point early harvest statement. The negotiation process has been somewhat nudged by the eight-point statement, but it is hard to imagine that diplomatic bargaining now or in the future can give India or China their maximal objective. For India, the maximal objective is to get back Aksai Chin up to its original claim and to keep everything it has in the other sectors. For China, it is to get Arunachal Pradesh all the way to the southern slopes (which is most of the state) and to keep everything else it has in the other sectors. It is inconceivable that Indian or Chinese negotiators can achieve their maximal objectives.

Nor can they do so by force. India cannot conquer Aksai Chin up to its original claim line, and China cannot conquer Arunachal Pradesh up to the southern slopes. Terrain, climate, logistics, and military defences make any dramatic — and lasting — military gains almost impossible. Short of extremely bad strategy by their commanders or internal political chaos that distracts from deterrence, the status quo on the border is stable.

Two things can disturb the Nash equilibrium (apart from bad defence or internal political collapse): The transition to a successor Dalai Lama, and an India-Pakistan fight that draws China directly in and leads to a two-front war for India.

● WORDLY WISE  
You can disagree without being disagreeable.  
— Ruth Bader Ginsburg

Eventually, Beijing will appoint its preferred Dalai Lama. The Tibetans will almost certainly choose their own. New Delhi will be caught in the middle. India-China tensions could consequently spiral, and China could lash out as it did in 1962 when the instabilities in Tibet were a factor leading to war.

Alternatively, another India-Pakistan fight could spiral. In 2025, New Delhi detected a Chinese helping hand to Pakistan during Operation Sindoor. In a future South Asian confrontation, China might be more ostensively involved. New Delhi or Beijing may then find themselves drawn into a fight that would threaten the status quo.

Beyond the border negotiations and all the other good things that the present détente with China promises — trade, visas, supply chain resilience, river water cooperation — New Delhi should be thinking about the strategic challenges that could disturb the current Nash equilibrium. Can India-China relations be insulated from a Tibet transition and a future India-Pakistan fight? Can the fruits of détente help build sufficient insulation? What more needs to be done with China?

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## The rebuilding of the city must begin, after Satya Niketan



GAUTAM BHATIA

EVERY YEAR, after the monsoon arrives, streets get flooded, and as more rain washes the city and water wends its way into basements and foundations, walls buckle, and buildings collapse. People are trapped inside; some die. At Satya Niketan, 50 Delhi University students were huddled in a makeshift arrangement in an unauthorised building. Seven died, and many others are in serious condition in local hospitals. Could the tragedy have been averted? Given the building’s condition, its age, its unauthorised status, and location in a dense neighbourhood, the answer is a resounding no. As climate change alters weather patterns, causing flash floods and drenching cities with sudden and enormous quantities of rain, it is critical to build physical safeguards that, along with civic governance, can be effectively enforced. For that, several steps are required.

First is the physical mapping of Lal Dora areas, the shadow pockets that evade municipal planning and exist in virtually all big cities. Almost 60 per cent of Delhi’s population currently lives in unauthorised structures — mostly in slums, low-rise makeshift tenements, or high-density four-to-five storey buildings in urbanised villages. While street maps of most illegal colonies exist, there needs to be a building-by-building documentation of the types and sizes of all structures, an assessment of their physical condition, along with an enumeration of the inhabitants. Advanced infra-red and other imaging techniques allow for a reasonably accurate assessment of the buildings’ structural condition.

Gone are the days when buildings were made to last for generations. The life-span of structures built in this century is barely 30-40 years; for those in Satya Niketan — because they follow none of the required safety codes — even less. Even within this short time frame, buildings need to be checked regularly, and if need be, demolished partially or wholly, and replaced.

Most buildings are designed for a specific function — their inappropriate use and heavy load on floors can weaken and damage the structure. A block of flats is designed for domestic use, but in unauthorised colonies many are converted into stores and restaurants, thus increasing the number of occupants and altering the weight on floors. Even makeshift hostels compromise living space to give a more lucrative return to the property owners. Unless building authorities approve a designated building function and allocate minimum floor space per person, no oc-

cupancy permit should be issued.

What then of the density of the colony layout? Builders take no responsibility for the ground they share with neighbouring buildings, but a spatial evaluation of the overall surrounding layout becomes essential to establish safety standards. Is there adequate natural ground around the structure to absorb rainwater? Are there enough wide-mouth drains to move water quickly? Local storm drainage conditions and the open ground available need to be assessed. In most cases, too much building in too small a ground area traps excess water, directing it into basements and foundations, eventually destabilising the structure.

Finally, there is the question of urban governance. Are political parties and their municipal agencies capable of being effective civic authorities? Or should all control of roads, buildings, transport and other infrastructure come under one legal entity, say, the mayor? What indeed is the value of the battery of bye-laws if they can’t be enforced? What is the point of the structural evaluation of buildings if inspectors and site engineers can be easily bribed?

Some years back, a newly constructed apartment in Bengaluru crumbled into a heap of dust just as soon as it was completed. It was approved as a three-storey structure, but the builder decided to increase his profit by adding two more floors illegally, thereby weakening the structural capacity of the columns. The collapse killed 12 people. What was the square-foot gain in income for every life lost? How do you monitor construction activity that could harm, even kill, its occupants?

In the Satya Niketan case, alterations were being carried out in the basement, potentially risking damage to the building. More rooms to house more students, a canteen perhaps? What was happening there was anybody’s guess, but it was enough to destabilise a structure almost half a century old, and bring it crashing down.

By 2030, Delhi will have a population of nearly 40 million, making it one of the world’s densest cities. More students and more migrants from nearby towns will make this their home. Soon civic authorities will need to ask more difficult questions. Can the city continue to accommodate people in every possible leftover space, without services or security? Will builders merely build higher with more unauthorised floor space, and endanger more lives? Or, is it time to seek thoughtful and radical alternatives? Is there space in the municipal mind for new and experimental ideas?

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## The choice is between AI applications and AI frontiers



SUVRAT RAJU

INDIA IS facing a technological crisis. Even as US and Chinese firms have released a parade of increasingly capable AI models this year, India has no competitive frontier model and no realistic prospect of producing one without significant policy shifts. The anticipated impact of AI can be separated into two categories. First, AI can diffuse through the economy by automating some routine jobs. Each industry will require specialised applications built on foundation models. India has an active start-up ecosystem devoted to building such applications, and businesses have rapidly adopted AI tools. However, AI will also have a strategic impact on research, cybersecurity and defence. AI models have been used to solve some of the most important open problems in mathematics. Anthropic’s Mythos model has formidable cybersecurity capabilities; it has not been released publicly, and is available only to selected organisations.

Currently, consumers have access to other frontier models, including Chinese open-weight models. But it is unrealistic to expect this to continue indefinitely. Earlier this year, the US temporarily imposed export restrictions both on Mythos and on a version of Mythos with guardrails called Fable. It is likely to restrict and regulate AI to “achieve global dominance”. US industry leaders and academics have advised India to focus on applications rather than the frontiers — a position supported by sections of the Indian IT industry. But countries that fall behind in frontier AI risk suffering the fate of those that missed the Industrial Revolution: A small business elite might find a niche and prosper, but ordinary people will suffer disempowerment.

India can still catch up to the frontier with a focused effort. The algorithms underlying modern AI models are widely understood. The industry has exploited “scaling laws” that predict how a model’s performance improves with its size and the computing power used for its training. So, while better algorithms improve efficiency, the basic formula for producing frontier models is to scale compute and data. Lack of computing power has bottlenecked sovereign Indian model development. The IndiaAI mission has a pool of 45,000 GPUs. But this is only a fraction of the capacity controlled by a single US frontier lab. The mission allocated 4,096 GPUs to Sarvam AI to train India’s flagship model. This is about 50 times smaller than what is used to train frontier models. No amount of ingenuity can compensate for this resource gap. A number of data centres, with significant computing capacity, are coming up in various states. But these will primarily serve MNCs, and their location in India offers no tangible benefits. Most of the announced capital investment will be directed to electronic equipment, and the employment they create will be limited to a few construction and maintenance jobs. Large data centres have a significant environmental impact. In India, this impact will be borne disproportionately by local communities.

India could use these data centres to alleviate its compute shortage with a “compute tax”: Any data centre established in India would be required to reserve, say, 25 per cent of its computing capacity for a publicly administered national compute pool. This capacity would remain physically within the data centre, but could be allocated by a central scheduler to Indian institutions. MNCs are likely to resist, but their bargaining position is weak given the growing hostility to these installations elsewhere. Such a tax would not obviate the other data-centre concerns. But together with environmental safeguards and welfare measures, it might open a narrow route to building a frontier model in India.

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### 40 YEARS AGO

September 14, 1986



### Early state polls likely

SIMULTANEOUS ELECTIONS to the Kerala, West Bengal and Haryana assemblies are likely to be held early next year as the Congress (I) leaders are considering advancing the poll date. The tenure of these assemblies is to expire in June next year. The elections may be held six months before the expiry of the tenure.

### Sevend gunned down in Tripura

SEVEN PERSONS, including six policemen, were killed and several others injured when armed Tribal National Volunteers (TNV)

extremists ambushed a police jeep on the Ambassa-Ganganagar road in North Tripura about 90 km from Agartala, officials said. About eight policemen were on their way to the Ambassa market from the Ganganagar Tripura Armed Police outpost around 10.30 am, when about 10 extremists opened fire.

### Punjab CM on migration

THE PUNJAB Chief Minister, Surjit Singh Barnala, said the people must frustrate the terrorists who wanted to achieve Khalistan by forcing migration of the population along communal lines. Barnala, who was addressing a public meeting attended mostly by the

Punjabis of Jaipur, said the Punjab government was determined to persuade the Hindus who had migrated from the state to return to their homes.

### Panther in concrete jungle

A FULL-grown panther that strayed into the concrete jungle of Secunderabad was captured alive and taken to the Nehru Zoological Park in Hyderabad by the zoo staff with the help of the police. The spotted cat measures nearly 5.5 feet, nose-to-tail-tip, and weighs 60 kg. It had no man-eating tendencies according to the zoo staff, who managed to tranquilise it after a two-hour battle.